

Chapter (9)

Organizational structure

Overview

- Structure refers to the relations between the components of an organized whole.
- Thus, structure concept can be used for everything. For example, a building is a structure of the relationship between foundation, skeleton, ceiling and wall.
- The body of human being is a structure consists of the relations between bones, organs, blood and tissues.

- Organizational structure is the framework of the relations on jobs, systems, operating process, people and groups making efforts to achieve the goals.
- Organizational structure is a set of methods dividing the task to determined duties and coordinates them.
- Organizational structure is a method by which organizational activities are divided, organized and coordinated.
- The organizations create the structures to coordinate the activities of work factors and control the members' actions

Organization structure definition

- Organizational structure is the framework of the relations on jobs, systems, operating process, people and groups making efforts to achieve the goals.
- Organizational structure is a set of methods dividing the task to determined duties and coordinates them.
- Structure is not a coordination mechanism and it affects all organizational process.
- Organizational structure refers to the models of internal relations of organization, power and relations and reporting, formal communication channels, responsibility and decision making delegation is clarified.

Dimensions of organizational structures

- Organizational structure is manifested in organizational chart.
- In planning organizational structure, there are three principles:
 1. Organizational structure determines formal relations and reporting in organization and it shows the number of levels in the hierarchy and it defines the span of the control of managers.
 2. Organizational structure determines the position of people as working in group in a unit and it divides the units in the entire organization.
 3. Organizational structure includes the design of systems by which all units are coordinated and effective relation in organization is guaranteed.

Dimensions of organizational structures

- Content variables can be important as they show organization and the environment in which there are structural variables.
- Structural variables indicate internal features of an organization and present a basis by which the organizations can be measured and their structure features can be compared with each other.
- The content variables affect structural variables. Complexity, formality and centralization are important examples of content variables.

Different types of organizational structures

The organization theorists consider mostly two types of structures:

Physical structures.

- Physical structure refers to the relations between physical elements of organizations as buildings and geographical places in which the works are done (business).

Social Structures

- Social structure refers to the relations between social elements as people, positions and organizational units (e.g. departments and sectors).

Structural forms

Structural forms are divided into theoretical and practical.

Theoretical forms:

- They are generic and abstract divided into organic and mechanistic.
- Content variables (goals and strategy, environment, technology and size) determine the type of mechanistic and organic structure.
- The combination of structural variables, organic or mechanistic form is created

Structural forms

In organic structure we have:

- Less horizontal differentiation
- High collaboration and participation (both horizontal and vertical).
- Flexible tasks
- The works are not formal and the communications are informal.
- Decision making system is not centralized.

Structural forms

In mechanistic structure we have:

- The units are differentiated at horizontal level.
- The relations are exact and inflexible.
- Communication channel is formal
- Decision making system is centralized.

Structural forms

The practical structures are divided into two groups:

- 1- Different types of practical structures based on five sections of organization.
- 2- Different types of practical structures based on grouping the activities of organization

New structures

- *Team structure*: The barriers are eliminated, the decisions are not centralized and the team takes the required decisions
- *Virtual organizations*: It is a small and central organization providing its main resources from other organizations. A virtual organization is centralized in terms of structure and rarely has it specialized units.
- *No boundary organizations*: In these organizations, commanding chain is eliminated and there is no control and the teams with high autonomy are replaced by centers

Determining factors of structure

- *Strategy*: The process of determining fundamental long-term goals, taking method and allocation of required source to achieve goals.
- *Technology*: It refers to the information, equipment, techniques and process to turn the inputs to outputs. the companies were classified based on one of three types of production technology, mass and process.

Determining factors of structure

Environment:

- The forces effective on organization performance and organization has less control on them or has no control on them.
- General environment: All effective conditions on organization but their dependency was not clear to organization (economic, cultural, political, social, legal conditions, etc.).
- Specific environment: It is a part of organization environment as associated directly with organization to achieve the goals.

Determining factors of structure

Control power (strategic selection):

- Under the best conditions of four previous factors (strategy, size, technology, environment) only 50 to 60% of change in structure are explained.
- Based on this view, at any time, the structure of an organization is the result of measurements of power owners of the organization in selection of the structure by which its control is maximized.